such a pressured moment? Sure enough, I was quizzed quite a bit in subsequent interviews about what I meant by demystifying the Reserve Bank which forced me to give a concrete structure to my unconscious thought process.

Demystification—a Priority

There were two reasons why demystifying the Reserve Bank seemed such a high priority. The first was my strong feeling that the Reserve Bank has to render accountability for the outcomes of its actions. The Reserve Bank has, in fact, embarked on a number of voluntary initiatives to render accountability. But these measures are all in the nature of 'supplying' accountability; of what use are they unless they are matched by 'demand' for accountability from the larger public? And how can the larger public demand accountability unless they have at least a basic understanding of the role and responsibilities of the Reserve Bank.

It struck me that the large majority of people, even educated people, do not know very much about what the Reserve Bank does. Many know it prints currency but beyond that, the Reserve Bank is a black box, a mysterious institution, a sort of monolith, doing obscure things that have no real relevance for the everyday lives of people.

The reality is, in fact, very different. The Reserve Bank prints and distributes currency, of course, but it does a lot of other things besides. It is the monetary authority of the country, which means its main job is to keep inflation under control while also supporting growth. It is the gatekeeper of the external sector which entails monitoring and regulating capital inflows and outflows, and keeping the exchange rate steady. It regulates and supervises banks to ensure that the money which people save in banks is safe and is productively deployed towards generating economic activity; similarly, it regulates non-banking financial companies and segments of financial markets, again with the aim of channelling savings into productive investment. The Reserve Bank's regulation extends also to the payment and settlement systems with the objective of making financial transactions safe,